SENATE BILL 647
By Crowe

HOUSE BILL 1280

By Hill

AN ACT to amend Tennessee Code Annotated, Title 4, Chapter 3; Title 9 and Title 71, relative to medical expenses.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 71, Chapter 5, Part 1, is amended by adding the following as a new section:

(a) There is created within the state general fund a special account to be known as the medical expense relief fund. The purpose of this fund is to assist the next of kin and the estate of a decedent who was enrolled in TennCare at the time of death with paying the decedent's medical debt and expenses, including the payment of medical assistance benefits, premiums, or other costs due from the estate under § 71-5-116 and federal law.

(b) The department of human services shall administer the fund and establish procedures for the next of kin or the estate of a decedent who was enrolled in TennCare at the time of death to apply for grants awarded pursuant to this section. The procedures must include, but are not limited to:

(1) Application requirements and deadlines to apply for grants;

(2) Criteria for awarding grants, which allow the department to consider factors such as the amount of the decedent's medical debt and expenses and demonstrated need of the decedent's next of kin and estate;

(3) Criteria for determining whether to award a grant to the next of kin, the legal representative of the decedent's estate, or directly to the creditor or creditors to whom the obligation is owed; and

(4) Reporting requirements for recipients who receive grants to ensure accountability and measure program effectiveness.

(c) The next of kin or the legal representative of the estate of a decedent who was enrolled in TennCare at the time of death may apply for grant funds under this section. The department shall make available to such persons a method of submitting an application for a grant and provide assistance, if requested, to the eligible recipient in completing the application and submitting supporting documentation. The department shall require an applicant to provide documentation of the decedent's unpaid medical debt and expenses, including the payment of medical assistance benefits, premiums, or other costs due from the estate under § 71-5-116 and federal law.

(d) Subject to available funds, the department shall allocate and disperse grants from the fund to eligible recipients identified by the department from those described in subdivision (b)(3). Grant funds must be expended only for the decedent's medical debt and expenses, including the payment of medical assistance benefits, premiums, or other costs due from the estate under § 71-5-116 and federal law.

(e) It is the general assembly's intent that the fund consists of an initial appropriation of two hundred fifty million dollars ($250,000,000) from the general fund.

(f) Unless otherwise specified in this section, moneys deposited in the fund must be used only to implement and administer the purposes set forth in this section. In addition to appropriations made to the fund, the department may accept other funds, public or private, by way of gift or grant to the fund. A gift or grant must be deposited into the fund to be expended in accordance with this section.

(g) The state treasurer shall invest moneys in the fund for the benefit of the fund in accordance with § 9-4-603. Interest accruing on investments and deposits of the fund must be credited to and remain part of the fund.

(h) Any balance remaining unexpended at the end of a fiscal year in the fund must be carried forward into the subsequent fiscal year.

(i) The department shall promulgate rules necessary to effectuate this section. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4,chapter 5.

(j) All expenditures from the fund are subject to review in the form of an annual report submitted by the commissioner of human services to the chair of the finance, ways and means committee of the senate and the chair of the committee of the house of representatives having jurisdiction over budget-related matters.

SECTION 2. This act is not an appropriation of funds, and funds must not be obligated or expended pursuant to this act unless the funds are specifically appropriated by the general appropriations act.

SECTION 3. This act takes effect July 1, 2025, the public welfare requiring it.